

Northwind Semiconductors Reports Third Quarter Fiscal 20

SANTA CLARA, Calif. - Northwind Semiconductors (fictional) today reported revenue for the third quarter of fiscal 2026 of \$4.2 billion, up 31% from a year ago and up 6% from the previous quarter.

Highlights

- Data center revenue was a record \$2.94 billion, up 44% year over year.
- Gross margin was 61.5%, down 1.2 percentage points sequentially due to higher packaging costs.
- Operating income was \$1.3 billion; diluted earnings per share were \$1.12.
- Cash and cash equivalents were \$5.8 billion; long-term debt was \$2.1 billion.
- The Board approved a new \$1.0 billion share repurchase program.

Outlook for the fourth quarter of fiscal 2026

- Revenue is expected to be between \$4.0 billion and \$4.2 billion, including an estimated \$300 million impact from new export licence requirements for advanced chips.
- Gross margin is expected to be approximately 60%.

Risk factors

- New export licence requirements may further limit shipments to certain regions.
- Our largest cloud customer represented 22% of quarterly revenue (customer concentration).
- Advanced packaging capacity remains constrained across the industry.

"We delivered record data center revenue while navigating a changing regulatory environment," said Dana Reyes, Chief Executive Officer (fictional).

Condensed Consolidated Statement of Income (unaudited, \$ millions)

	Q3 FY2026	Q2 FY2026	Q3 FY2025
Revenue	4,200	3,962	3,206
Data center	2,940	2,690	2,042
Client & gaming	1,260	1,272	1,164
Gross profit	2,583	2,484	1,955
Gross margin	61.5%	62.7%	61.0%
Operating income	1,302	1,228	897
Net income	1,071	1,010	735
Diluted EPS (\$)	1.12	1.06	0.77

Quarterly revenue (\$ millions)

